monevate

CAPTURING VALUE IN PRIVATE EQUITY:

# 8 Signs Your B2B SaaS Portfolio Company Needs a Pricing Transformation

By James D. Wilton



## Private Equity Operators and Investors understand the potential of **Strategic Pricing Transformation** as a lever for value creation. But it is challenging to know whether a strategic pricing opportunity within a portfolio company is **worth pursuing**.

It has been several years since the Private Equity Industry first opened its eyes to the huge ROI potential that pricing optimization offers. Investors needed little persuading to recognize the quick wins that tactical pricing actions – such as right-sizing deals and enforcing deal terms to recapture "leakage" discount prevention - could yield, and for several years have frequently added such initiatives to the set of early plays on new acquisitions.

More recently, however, we have seen Private Equity Operators consistently think bigger and longer term around pricing. They are looking for the revenue growth, net revenue retention, and EBITDA gains that more strategic and structural pricing transformations often capture.

### Through our work at Monevate we frequently see pricing strategy transformations add **10-15%** to year-over-year annual recurring revenue (ARR) growth, which in turn can increase Enterprise valuation by **25-35%**.

However, due to the fact that pricing is such a broad, nuanced, and seemingly opaque field, investors and operators often struggle to identify a clear-cut pricing opportunity in a specific portfolio company. While pricing is often a reliable lever to generate value, it isn't always, and the opportunity will be larger in some portcos than others. Given that capturing a pricing opportunity usually requires a meaningful investment in terms of the time, resources, and research required to build a solid and data-backed new pricing strategy, understanding which portcos have a greater chance of seeing a larger return on that investment is critical.

While it can be challenging to fully assess a pricing strategy opportunity without deep investigation, our experience in working with dozens of high growth SaaS companies shows there are **8 signs that reliably suggest a sizeable strategic pricing opportunity.**

The amount of supporting analysis required to investigate these signs varies considerably, so they are structured into **three levels of analytical depth**.

| Depth of Analysis | Sign of Pricing Opportunity |
|---|---|
| **Light**<br>These are surface-level insights that can be validated through conversations with portco leadership and team members | 1. Your portco has never updated its pricing strategy |
| | 2. Your portco's sales team is not asking for more discount flexibility |
| **Medium**<br>These insights can be arrived at through basic analysis and/or readily available company metrics | 3. Your portco has low cross-sell and/or upsell rates |
| | 4. Your portco's revenue is "reoccurring" rather than recurring |
| | 5. Your portco has a time lag between "request for proposal" and "quote" |
| | 6. Most of your portco's customers purchase the "best" package |
| **Deep**<br>Customer-level analysis and/or primary customer research may be necessary to fully arrive at these insights | 7. Your portco has high discounting with illogical variability |
| | 8. Your portco has increased prices without significant churn or dissatisfaction |

# Light Analysis

Surface-level insights that can be validated through conversations with portco leadership and team members

## 1. Your portco has never updated its pricing strategy

### A XaaS company that has never updated their pricing strategy (or has not done so for more than ~5 years) almost certainly has a meaningful pricing opportunity of some form.

It is rare for founders to put considerable research and rigor into their initial pricing strategies. Working with many early-stage companies, we find that founders typically copy their competitors, adopting the price metrics and packaging practices frequently chosen by other companies in the space, selecting a price level that they feel customers won't object to. It's rare for them to think about the way they generate value for customers and to connect that to their pricing strategy, and it's even less common for them to conduct research on customers' willingness-to-pay to make sure they're maximizing their value capture.

### As companies grow, (1) their objectives change, and (2) their product portfolio evolves, either through new development, or M&A. Both factors should be key drivers of your pricing strategy.

Therefore, a company that hasn't updated pricing in spite of these changing circumstances almost certainly does not have optimized pricing now, even if it was close to optimized originally.

## We find that for a fast-growing company, a pricing strategy will be highly effective for around three years, but anything older than that is due for a tune up.

Even without any indication of what the specific type of improvement would be, the simple absence of attention paid to a pricing strategy is a reliable opportunity indicator in itself.

On a more tactical level, if a portfolio company has not been increasing its prices to both new and existing customers at least at the rate of annual inflation, the company has effectively been decreasing prices.  The lack of an annual price increase suggests that, at the very least, a price level true-up is large opportunity. A recent Monevate client had not increased prices for 11 years, resulting in an effective discount of over 30% today, and 25% less revenue received per customer within that time period.









# 2. Your portco's sales team is not asking for more discounts

## Sales teams are personally invested in bringing in revenue for their company.

However, because they are frequently compensated by a flat percentage of the revenue that they bring in, **salespeople usually have little, if any, incentive to maximize deal prices**. Raising a price by 10% gives them 10% more commission on one deal (usually a small component of their overall comp) if they win. But in their eyes that 10% increase makes them significantly less likely to win. So, somewhat counterintuitively, their perception of the expected payout is actually higher at lower prices. **This means sales reps tend to push discounts to their approved limits**, and frequently ask for exceptions to discount a little more "just this one time."

Now consider the situation when an entire sales team is not asking for any discounting. They are perfectly comfortable working within their limits. This is a big clue that the prices are too low. If they were not, at least some customers would be pushing back more on price, and the sales team would be asking for more discounts.

> The absence of requests for greater discounting means there is clearly an upside to be captured. The only question is "how much?

# Medium Analysis

These insights can be arrived at through basic analysis and/or readily available company metrics

## 3. Your portco has low cross-sell and/or upsell rates

Upsell and cross-sell rates are critical to XaaS companies. Both drive overall revenue growth as well as improve net revenue retention, both of which are important components of XaaS company valuations.

**Analyzing 10 of Monevate's clients over two years, we found the average revenue lift through upsells to be 21%. However, upsell rate for individual companies span plus or minus 10% of that average.**

From the latest SaaS index from the Software Equity Group (see Figure 1, below), even in these times of relatively low multiples, an increase in revenue growth of 10% can yield an increase in revenue multiple of 1.2X, which could add $90M (or 27%, assuming the current average SaaS multiple of 7X) to the valuation of a $50M ARR company growing at 20% year-over-year, so the value in raising your upsell or cross-sell rates from poor to average, or from average to "best in class" is clear.

It's frequently the Sales or Customer Success teams that get blamed for low rates of cross-sell or upsell but – while they undoubtedly have an important role to play in the process – the pricing strategy is often one of the key culprits. The pricing structures often don't facilitate upsells.

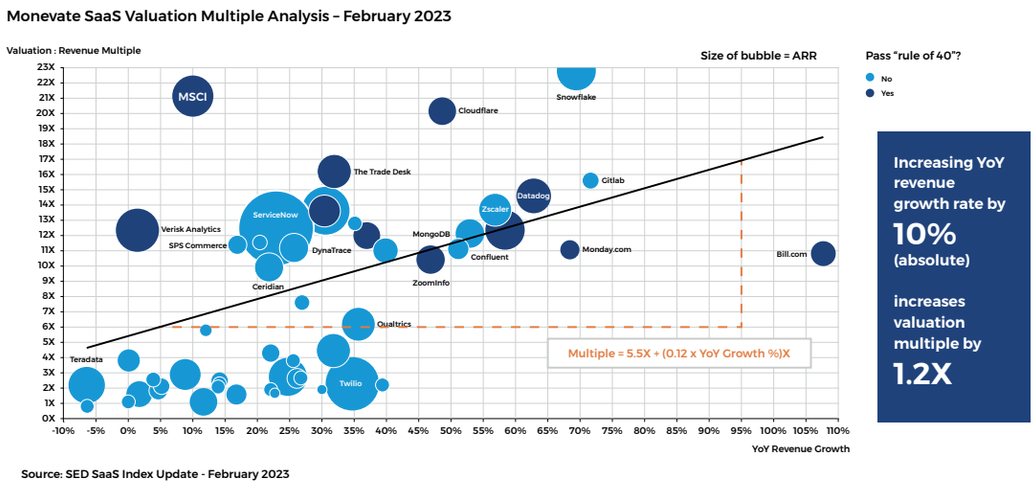
A lack of effective upsell options in packaging is an obvious flaw. A solution without premium tiers will struggle to generate upsell dollars, but so will a solution that has tiers when the buyers don't want or have the budget for large-scale spend changes at renewal. In the latter case, micro-upsells using add-ons would be more effective.

Likewise, tying your price to a non-growth-oriented price metric (think "# users" if the user base for a product doesn't tend to ever expand beyond the initial set) is an upsell killer. This can be addressed through the challenging but very high-potential process of changing the price metric and corresponding architecture. The recent trend of usage-based pricing is driven largely by the fact that most measures of usage will be expected to grow over time, providing a natural upsell path.

Similarly, when cross-sell rates are low even though multiple products are eligible for the same customer, it may be the pricing strategy that's a barrier. Having different pricing structures for different options within a suite can make cross-selling cumbersome. On the other hand, forcing different products into fixed packages can actually inhibit cross-selling if the buyer persona is different for the separate products.

Figure 1.

## Improving revenue growth rate has a significant impact on valuation multiple



# 4. Your portco's revenue is "reoccurring" rather than recurring

**Through a strategic change in the pricing model, it is possible for a smart pricing strategist to raise a company's valuation significantly, without materially impacting the annual recurring revenue (ARR).**

By definition, all XaaS (Anything-as-a-Service) companies have recurring revenue.

Providing a product or service via a subscription results in regular payments which the market values highly. In boom times, it's not unusual for recurring revenue to have a valuation multiple of 7-15x.

Reoccurring revenue is not the same thing. Reoccurring revenue is revenue that tends to repeat year after year (e.g. "my customer tends to spend over $X with us every year") but there is no contractual basis to lock in this spending. The value of such revenue is significantly lower, maybe as low as 1-3x in the same economy.

It is not always clear to portcos whether certain price models result in recurring revenue or reoccurring revenue, and thus they may not be building their pricing strategies in a way that maximizes their potential valuation. This is particularly relevant today because of usage-based pricing.

**Usage-based pricing, built in the default "measure and bill" way, does not result in recurring revenue.**

To illustrate, if a company decides to charge a customer based on the number of user sessions per month, and then each month it measures the usage and charges accordingly, that is reoccurring revenue, not recurring revenue.

By contrast, making the decision to charge for an expected number of user sessions per month, and charging a consistent monthly amount to reflect that usage, whether or not it's reached or exceeded, is recurring revenue, and will be valued as such. This kind of model is now frequently termed a "usage-based subscription" and has the additional benefit of making usage-based prices far more predictable, which reduces friction in the sales motion. A win-win for companies and customers, it is clear why most of Monevate's usage-based pricing transformations have been towards usage-based subscriptions.





# 5. Your portco has a time lag between “request for proposal” and “quote”

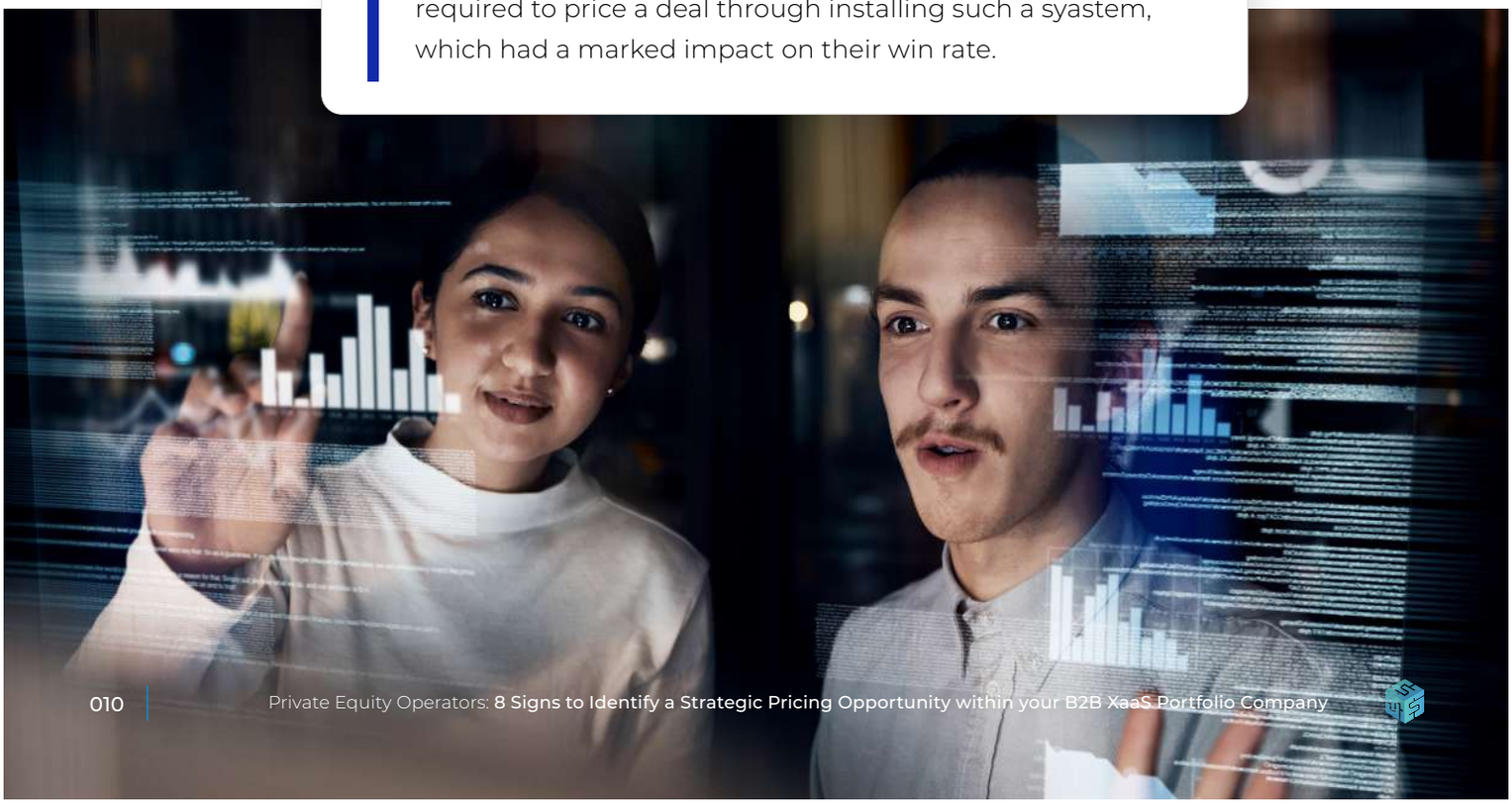
## There is a well-known phrase in sales: time kills all deals.

In our experience, if your portco customizes pricing to each individual customer, the time it takes you to come up with pricing may indeed be killing a lot of your deals.

In enterprise sales, a certain amount of customization in pricing is commonplace. The small number of deals means that maximizing the value capture from each one is extremely important, and custom pricing allows a deal team to assess the specific situation and arrive at a custom price that is close to willingness-to-pay. However, if there is not a solid pricing structure and a supporting quote tool in place for doing this, the time to produce the quote can become problematically long, causing customers to lose interest and go in other directions.

We see this frequently with XaaS companies that offer services in support of their product.  Typically, the specific needs for those services are highly unique to the customer, which means that scoping them out can be a significant and time-consuming effort. The fix here is to standardize – introduce a menu of services, t-shirt-sized if appropriate – and facilitate the quoting process through a calculator that lifts from that menu.

> An EdTech company managed to shave **~85% off** the time required to price a deal through installing such a syastem, which had a marked impact on their win rate.





# 6. Most of your portco's customers purchase the "best" package

The benefits of packaging and tiering are well-understood.

For a company that produces only one "take it or leave it" configuration, adding premium tiers is as close to a pricing strategy "slam dunk" as you're likely to see.

Our research for an outdoor activities app correctly predicted an 8% revenue increase and 10% churn increase through a general price increase - but also identified a 20% revenue opportunity through adding a premium tier.

## That said, there can be signs that an offering that is already tiered can be further improved.

Perhaps the most clear-cut sign is when the majority of customers purchase the premium package - the "best" tier in a good-better-best model. Such a situation shows that your price differentiation is not optimal – there is almost certainly a set of premium tier customers who are willing to pay more than the current highest price point.

More value could therefore be captured through either (a) raising the price of this existing premium offering, or (b) creating an additional premium tier (or set of add-ons) that can further monetize those customers.

> As part of our work for an HR tech and benefits solution, we found that **95% of their monthly recurring revenue** came from the premium package, which was priced only slightly higher than the basic tier. Ultimately, through buyer research we identified a customer segment with a high willingness-to-pay. These customers valued specific features that were under consideration for the roadmap, allowing us to create an additional premium tier at a **30% price premium**.

# Deep Analysis

Customer-level analysis and/or primary customer research may be necessary to fully arrive at these insights

## 7. Your portco has high discounting with illogical variability

People who are keen to identify a pricing issue are quick to check the discount rates.

It's assumed that lots of discounting suggests that lots of price is being leaked unnecessarily, and that's an easy fix.

Unfortunately, it's not always as simple as that.  High discount rates do not necessarily signal a pricing strategy opportunity on their own.

Consistently high discounts might simply mean that the list prices have been set too high, and the sales team needs to discount significantly to reach a reasonable net price. It might be that the company is going with a purposely high discount rate strategy, deliberately setting higher list prices so that the net price comes out perfectly. Reducing discounting would be unlikely to yield much of a return in either of these situations.

That's not to say that discounting can't reveal a pricing opportunity, but to see it you have to go deeper and look at the discounting variation.

**Discounting is not inherently bad. It is the unplanned discounting that suggests a leakage and therefore an opportunity. Look for deviations from the norm in order to reveal the potential for further value capture through discount reduction.**

Assessing discounts across deals that look similar can reveal a lot. If two customers of the same size and type purchase the same product in the same region within the same competitive situation  and receive very different discounts, it's fair to question the rationale.  Unless there is a systematic reason for the difference, the discount was likely a negotiation strategy to get the deal over the line. That situation is true value leakage through poor price execution, and it can be fixed through discounting rules, sales incentives and sales enablers.

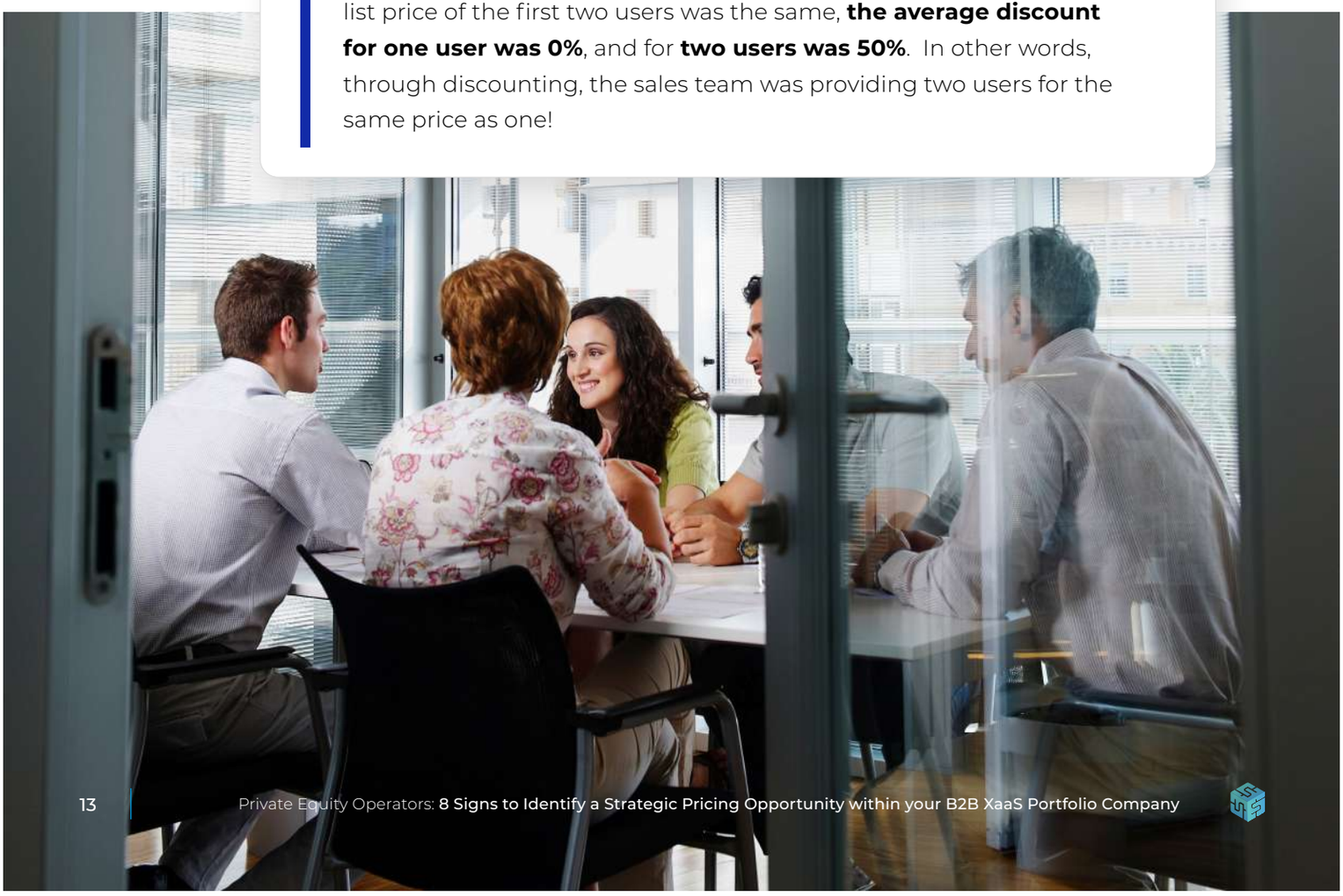
Now imagine that customers of a certain size and type, buying a certain product, were receiving a significantly higher discount than other customers, with no obvious reason why. This suggests the list prices are too high for this segment, and the sales team is resorting to discounting in an attempt to correct them. The reason for such a deviation is usually due to the pricing structure – including packaging and price architecture (the price metric, and the way it scales the price) – ineffectively price-differentiating across customers. In this case, there is clearly an opportunity to correct that structure.

In certain portcos, you may find both opportunities at the same time.

While this could simply be an opportunity to reign in discounting, it could also suggest that "number of users" is an ineffective, non-value-based price metric.

## There will be considerable value to understanding the source of discounting variability and solving the underlying issue.

> A MarTech SaaS company priced its campaign management software to customers based on number of users, with a number of SMB customers purchasing one or two users. We discovered that while the list price of the first two users was the same, **the average discount for one user was 0%**, and for **two users was 50%**. In other words, through discounting, the sales team was providing two users for the same price as one!



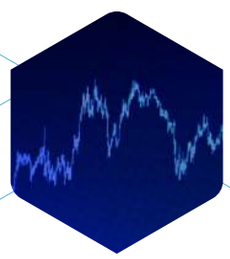
# 8. Your portco has increased prices without significant churn **or** dissatisfaction

It's not uncommon for private equity firms to use a recent price increase without churn as evidence in support of further price increases. The narrative is frequently "we know there is price headroom. We just don't know how much." You typically don't need deep analysis to uncover that churn is low – those stats will typically be well reported, and several executives will be able to quote the numbers exactly.

**A price increase without significant churn does NOT guarantee that there is pricing headroom. It doesn't even mean that the churn-less price increase was a good move for the long-term.**

Not all churn is immediate. It's relatively common for a customer facing a large price increase to feel "captive." In this situation they can resent the price increase, and they can want to vote with their wallet by cancelling their subscription. But if having a solution in this place is important and they don't have a viable and validated solution lined up, they may not feel comfortable moving immediately. Such a customer will likely keep their subscription but will be on the lookout for something – anything – that can replace the product for the next renewal.







## 8. Your portco has increased prices without significant churn or dissatisfaction cont.

Through our previous work in the B2B Events industry, we were introduced to several long-standing annual conferences that had increased prices aggressively, year-on-year, assuming that customers “had to be there” since there were no good alternatives. The result in each case was that alternative events were eventually created, and unhappy patrons gratefully jumped ship. The perceived price gouging had created space for disruption.

Smart investors will test the water with customers following a price increase, before assuming that prices can be increased still further. This can be achieved through interviews, customer satisfaction surveys, or broader market research. A study we completed on a private equity-acquired company that had substantially increased its prices without significant churn. Our results showed that customers saw the offering as overpriced. Further price increases would have been disastrous.

> For portcos where churn is minimal and forays into customer satisfaction suggest none of these worrying signs, you can feel confident that there is more value to capture through further price increases.

Armed with knowledge of these 8 signs, private equity investors and operators can better validate pricing transformation as an investment thesis, and value creation teams can better prioritize their portcos for pricing transformation initiatives.

It's unlikely that all 8 signs will be seen within a single portfolio company, and the resources and data availability may make it impossible to even investigate all eight.

## From Monevate's experience, a portfolio company that shows **2 or more of the 8 signs** of a pricing opportunity is a strong candidate for pricing transformation.

Through prioritizing qualifying companies for pricing transformation initiatives, PE investors and operators can maximize the ROI on their transformation efforts, and look forward to significant improvements in revenue, net revenue retention, margin, and valuation on their chosen targets.

monevate

For more information on pricing transformation, please don't hesitate to reach out to Monevate directly at **info@monevate.com**.

THE CUBE

THE MONETIZATION COMMUNITY FOR XAAS LEADERS

Encourage your portfolio companies to join The Cube, Monevate's community for XaaS executives and founders charged with designing or transformation pricing strategies. Members join an exclusive collective of peers with similar growth aspirations and challenges and get access to pricing masterclasses and 1-on-1 advisory sessions with pricing experts. **Follow this link** for more information.

Scan the QR code to follow Monevate on LinkedIn